

India Steel: Carbon Liability Is Now a Balance Sheet Event

A Bombay Breed intelligence brief for Chief Financial Officers of obligated steel entities

253

Steel units with mandatory GEI targets

64%

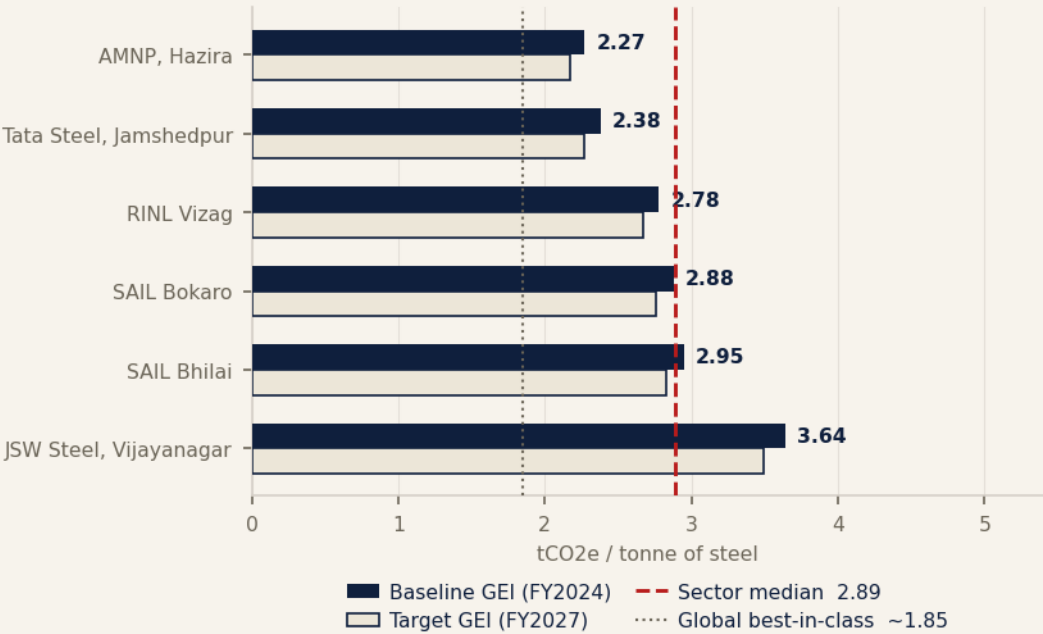
GEI spread:
best vs worst large plant

2×

Penalty multiplier on credit shortfall

GEI LEAGUE TABLE: LARGE STEEL PLANTS

Baseline (FY2023-24) vs target (FY2026-27), tCO₂e per tonne of steel Source: MoEFCC GSR 405(E), Jun 2025; LSE Grantham Institute, Aug 2025

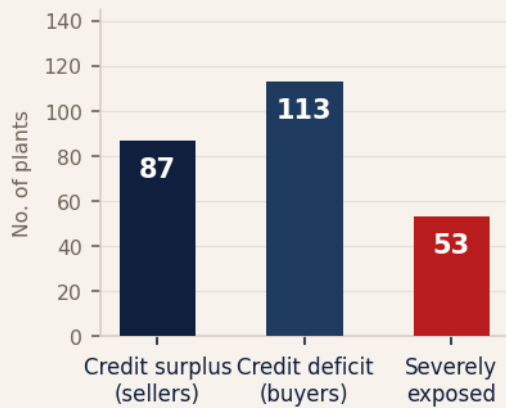


The GEI spread across India's 26 large steel plants runs from **2.27 tCO₂e/tonne** (AMNP Hazira) to **3.64 tCO₂e/tonne** (JSW Vijayanagar) against a sector median of 2.89. The 64% variance means plants at the upper end carry structurally higher compliance costs for every year they remain above median.

Iron and steel entities face a **2-3% GEI reduction** requirement in FY2025-26, tightening to **4-6%** by FY2026-27. Non-compliance triggers environmental compensation equal to **twice the prevailing credit price** as determined by BEE. At current market pricing of Rs 830-1,000 per credit, that exposure is material and measurable.

COMPLIANCE EXPOSURE PROFILE: 253 STEEL PLANTS

Estimated distribution by credit position. Source: MoEFCC Jun 2025; LSE Grantham Institute, Aug 2025

**87 plants**

are on track to generate surplus credits and become sellers at ICM launch.

113 plants

are at risk of falling short of FY27 targets and will need to purchase credits or face penalties.

53 plants

face GEI intensity above 2x the sector median. Credit exposure could run to crores per compliance year.

FOUR QUESTIONS YOUR CFO SHOULD BE ABLE TO ANSWER TODAY

- 1** Where does your plant sit relative to the 253 obligated steel entities? Above or below sector median GEI?
- 2** What is your projected credit surplus or deficit for FY2025-26 and FY2026-27 at current operating intensity?
- 3** Are your BRSR disclosures consistent with your CCTS-notified GEI baseline? Inconsistency is a material reputational and regulatory risk.
- 4** When the Indian Carbon Market opens for trading (expected mid-2026), what is your communication strategy for investors and lenders?

HOW BOMBAY BREED WORKS WITH OBLIGATED STEEL ENTITIES

- GEI peer benchmarking: your plant vs. the full 253-entity notified dataset
- BRSR-CCTS alignment audit: disclosure consistency before regulators scrutinise it
- CFO / board briefing: financial liability quantification in INR, not theory
- Carbon communications strategy: investor, lender and media narrative ahead of ICM launch

Request a full briefing — bombaybreed.com

Sources: MoEFCC Draft Notification GSR 405(E), 23 June 2025 | LSE Grantham Research Institute, August 2025 | ICAP ETS Map, January 2026 | Bureau of Energy Efficiency (BEE) | Carbon credit pricing: BEE / market data FY2026